market timing, our relative stock selection has probably been no better than average. On the other hand, there has been a terrific relationship between our largest size positions and their success, perhaps reflecting our ability to relate our own level of confidence to ultimate market performance.

There is no doubt that great emphasis is placed on market timing. Here there is no magic formula. Like our competitors, we pay a great deal of attention to broader economic variables, including interest rates. At this time, we have a large long position in intermediate bonds while being net short in the stock market. We believe this creates a natural hedge, but we really hope to make money from both ends of the portfolio. This may seem simplistic, but I think that substantially lower interest rates are a necessary precondition for an important stock market gain. Much of our portfolio rationale flows from that concept, and we translate it both in broader terms as well as in individual stock selections, long and short. We tend to be long higher-quality, high-yielding stocks now, and we are short "growth" type stocks that are, or we think will be, suffering from cyclical downturn. We tend to trade very actively on the short side, with the view that an 800 or so Dow will prove a major buying area in the not-too-distant future, and therefore one should be nimble.

Compensation

With some minor variations on the theme, compensation to the general partners of the firm, and to a great degree to the important employees of the firm, is based exclusively on the firm's investment performance in each year. Basically, we receive 20 per cent of the net profits. If there are no profits, the general partners are paid nothing—no salary, no fee, nothing. This is on an absolute basis; even if being flat for the year is a good relative result, there is no compensation.